Privacy

by Sophia

WHAT'S COVERED

In this lesson, you will learn about the tension between a worker's right to privacy and an employer's right to monitor workers for security reasons and to supervise work. Specifically, this lesson will cover:

1. Electronic Monitoring

Monitored workstations, cameras, microphones, and other electronic monitoring devices permit employers to oversee virtually every aspect of employees' at-work behavior. Technology also allows employers to monitor every aspect of computer use by employees, such as downloads of software and documents, Internet use, images displayed, time a computer has been idle, number of keystrokes per hour, words typed, and the content of emails. According to a survey by the American Management Association, 48% of employers used a form of video monitoring in the workplace, and 67% monitored employee Internet use. In 30% of the organizations responding to the survey, this electronic monitoring had ultimately led to an employee's termination (SHRM, 2016).

THINK ABOUT IT

What are some of the reasons a company might want to observe their employees? In what industries does this make the most sense? How can this be abused?

The laws and regulations governing electronic monitoring are somewhat indirect and inconsistent. Very few specific federal statutes directly regulate private employers when it comes to broad workplace privacy issues. However, monitoring is subject to various state rules under both statutory and common law, and sometimes federal and state constitutional provisions as well. The two primary areas of the law related to workplace monitoring are a federal statute called the **Electronic Communications Privacy Act of 1986 (ECPA)** and various state common law protections against invasion of privacy.

Although the ECPA may appear to prohibit an employer from monitoring its employees' oral, wire, and electronic communications, it contains two big exceptions that weaken its protection of employees' rights. One is the **business purpose exception**. This allows employers—on the basis of legitimate business purposes—to monitor electronic and oral communications, and employers generally assert a legitimate business purpose to be present. The other widely used exception is the **consent exception**, which allows employers to monitor employee communications provided employees have given their consent, which of course workers may feel pressured to give.

The ECPA applies to the transmission of communications but not to their storage. Therefore, courts have distinguished between monitoring electronic communications such as email during transmission and viewing emails on an individual's computer.

In general, it is legal for a company to monitor the use of its own property, including computers, cell phones, and other devices. According to the ECPA, an employer-provided computer system is the property of the employer, and it likely violates no laws when the employer monitors everything an employee does with that computer, even if they take it home and use it on personal time. The same is true of an employer-provided cell phone, and may be further clarified by agreements signed by the employee before obtaining the equipment.

However, an important distinction is employee consent. The consent provision in the ECPA is not limited to business communications only; therefore, a company might be able to assert the right to monitor personal electronic communications if it obtains employee consent, which employees may feel pressured to grant. Another consideration is whose email server is being used. The ECPA and some state laws make it illegal for employers to intercept the employee's personal emails; they are only granted the right to search their official work email.

Although the ECPA and National Labor Relations Act are both federal laws, individual states are free to pass laws that impose greater limitations, and several states have done so. Some require employers to provide employees with advance written notice that specifies the types or methods of monitoring to which they will be subjected. Examples of state laws creating some degree of protection for workers include laws in California and Pennsylvania that require consent of both parties before any conversation can be monitored or recorded.

TERMS TO KNOW

Electronic Communications Privacy Act of 1986 (ECPA)
A 1986 law that prohibits monitoring employees' oral and electronic communications without prior notice and employee consent.

Business Purpose Exception
Exceptions to privacy laws where businesses can demonstrate a clear need to monitor employees, such as security.

Consent Exception
Exceptions to privacy laws which allow employers to monitor employee communications provided employees have given their consent, which of course workers may feel pressured to give.

2. Privacy and the Law

WATCH

Where do employee rights meet a business's need to set rules of conduct for their workers?
Many employees generally are not familiar with the specific details of the laws on privacy. They may feel offended by monitoring, especially of their own equipment. Companies must also consider the effect on workplace morale if everyone feels spied upon, and the risk that some high-performing employees may decide to look elsewhere for career opportunities. Employers should develop a clear, specific, and reasonable monitoring policy. The policy should limit monitoring to that which is directly work related. For example, if a company is concerned about productivity and the goal of monitoring is to keep tabs on employee performance, then neither keystroke logging nor screenshot recording is necessary; software designed to show idle time or personal Internet use would be more helpful in identifying wasted time, which is the ultimate goal.

Employers should always remember their business goals when monitoring employees. It is not only a matter of treating employees ethically; it also makes good business sense to ensure that monitoring pertains only to business matters and does not unnecessarily intrude into the privacy of employees. Perhaps most importantly, in the interest of fairness, the monitoring policy must be communicated to the employees.

An exception to a worker's right to privacy may be mitigated when illegal activity is suspected. For example, the State of Connecticut specifically excludes the requirement to give notice of electronic monitoring when an employee is suspected of criminal activity (including sexual harassment), provided that the video surveillance is likely to give evidence of the criminal activity. Obviously, a warning would get in the way of the criminal investigation.

There is also a key legal difference between intentionally spying on a person and discovering it in the normal course of duty. In a unanimous decision in *Ontario v. Quon*, the U.S. Supreme Court in 2010 ruled in favor of a police chief in Ontario, California, who read nearly five hundred text messages sent by one of his sergeants on a police-issued pager. Many of the text messages were personal and some were sexually explicit. Only a few dozen were work related. The justices agreed that constitutional limits on unreasonable searches by public employers (under the Fourth Amendment) were minimal given a work-related purpose.

This decision creates precedent for more than 25 million employees of federal, state, and local governments and limits their expectation of privacy when using employer-issued tools. "Because the search [by the police chief] was motivated by a legitimate work-related purpose and because it was not excessive in scope, the search was reasonable," said Justice Anthony M. Kennedy.

In the private sector, where employees are not working for the government and the constitutional prohibition on unreasonable searches and seizures has very little applicability, if any, employers have even more latitude in terms of employee monitoring than in a government setting. The *Ontario v. Quon* case in all likelihood would never even make it to court if the employer were a private-sector company, because the issue of whether getting the text messages was a reasonable search and seizure under the Fourth Amendment does not apply in a nongovernment employment setting. The Constitution acts to limit government intrusions but does not generally restrict private companies in this type of situation. That is, a private company has significantly more leverage in monitoring its employees, at least the devices the company itself provides. However, ethical considerations may encourage private sector employers to treat their workers respectfully, even if not required by law.

THINK ABOUT IT

You manage a large, high-end jewelry store with an international clientele. Your workforce of 150 is demographically diverse, and your employees are trustworthy as a rule. However, you have experienced some unexplained loss of inventory and suspect a couple of employees are stealing valuable pieces, removing them from backroom storage safes and handing them off to another person somewhere in the store who leaves with them or to a third person pretending to be a customer. To prevent this, your assistant managers are urging you to place discreet cameras in the restrooms and break rooms, where these exchanges are likely occurring. Some managers might be concerned about using cameras at all due to privacy issues; others might want to use them without notifying employees or putting up signs because they do not want to tip off the suspects or deal with the negative reaction of the workforce (although that brings up invasion of privacy issues). You are weighing the pros of catching the thieves against the possible loss of other employees' trust and violation of their rights.

What issues must you confront as you decide whether you will take the recommendation of your assistant managers? What, ultimately, will you do and why?

3. Drug Testing

Key issues that arise about a drug testing or monitoring program begin with whether an employer wants or needs to do it. Is it required by law for a particular job, under state or local regulations? Is it for pre-employment clearance? Does the employer need employees' permission? Does a failed test result in mandatory termination? With the exception of employers in industries regulated by the federal government, such as airlines, trucking companies, rail lines, and national security-related firms, federal law is not controlling on the issue of drug testing in the workplace; it is largely a state issue. At the federal level, the Department of Transportation does mandate drug testing for workers such as airline crews and railway conductors and has a specific procedure that must be followed. However, for the most part, drug testing is not mandatory and depends on whether the employer wants to do it. Multiple states do regulate drug testing, but to varying degrees, and there is no common standard to be followed.

Testing of job applicants is the most common form of drug testing. State laws typically allow it, but the employer must follow state rules, if they exist, about providing notice and following standard procedures intended to prevent inaccurate samples. Testing current employees is much less common, primarily due to cost; however, companies that do use drug testing include some in the pharmaceutical and financial services industries. Some states put legal constraints on drug testing of private sector employees. For example, in a few states. the job must include the possibility of property damage or injury to others, or the employer must believe the employee is using drugs.

Challenging a drug test is difficult because tests are considered highly accurate. An applicant or employee can refuse to take the test, but that often means not being hired or losing the job, assuming the worker is an employee at will. The concept of **at-will employment** affirms that either the employee or the employer may dissolve an employment arrangement at will (i.e., without cause and at any time unless an employment contract is in effect that stipulates differently). Most workers are considered employees at will because neither the employer nor employee is obligated to the other; the worker can quit or be fired at any time for any reason because there is no contractual obligation. In some states, the employee risks not only job loss but also the denial of unemployment benefits if fired for refusing to take a drug test. Thus, the key concept that makes drug testing possible is employment at will, which covers approximately 85% of the employees in the private sector (unionized workers and top executives have contracts and thus are not at will, nor are government employees who have due process rights). The only legal limitation is that, in some states, the drug testing procedure must be fair, accurate, and designed to minimize errors and false-positive results.

The drug testing process, however, raises some difficult privacy issues. Employers want and are allowed to protect against specimen tampering by taking such steps as requiring subjects to wear a hospital gown. Some employers use test monitors who check the temperature of the urine and/or listen as a urine sample is collected. According to the Cornell University Law School Legal Information Institute, some state courts (e.g., Georgia, Louisiana, Hawaii) have found it an unreasonable invasion of privacy for the monitor to watch an employee in the restroom; however, in other states (e.g., Texas, Nevada), this is allowed.

Case examples abound of challenges based on privacy concerns. In an article in the*Harvard Journal of Law and Technology*, University of Houston Law School professor Mark Rothstein, who is director of the Health Law and Policy Institute, summarized examples of legal challenges (1991). In one case, the court ruled that an employer engaged in unlawful retaliation as defined by the Mine Safety and Health Act. The employer dismissed two employees who were required to urinate in the presence of others but found themselves unable to do so. In a different case, $125,000 in tort damages was awarded to a worker for invasion of privacy and negligent infliction of emotional distress as a consequence of his being forced to submit a urine sample as he was being directly observed.

Extending our conversation, we also need to consider the distinction between private time vs. on the job time and to what extent the ability to require a drug test at work extends into someone's private life. As many states have legalized some formerly controlled substances, what is legal in one's private life may impact one's ability to work. Furthermore, many states are not "at-will" or "right to work" states and may, in fact, have laws that contradict the practice of mandatory testing. The intersection between our private lives, our work lives, and the law of the state in which we reside vs. federal laws makes for a complicated situation at best, and direct contradictions at worst.

THINK ABOUT IT

For what jobs is it reasonable, even necessary, to make sure workers are not using drugs? How can this testing be done while respecting the dignity and privacy of the employees?

TERM TO KNOW

At-Will Employment

Job agreements where either the employer or employee can terminate the arrangement at any time for any reason (with sufficient notice).

SUMMARY

In this lesson, you learned about the concept of **electronic monitoring**. Whereas the boss could once observe your work over the shoulder, in the age of technology, every keystroke and page viewed can be documented. Knowing that **laws on privacy** can help employers set guidelines, many simply demand employee consent to bypass concerns about employee privacy, raising ethical questions. **Drug testing**, for example, while conducted on the job can capture legal consumption off the job, on private, uncompensated time. The intersection of electronic monitoring, privacy and the law, and drug testing contributes to several ethical knots that are not easy, or simple, to unwind.

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